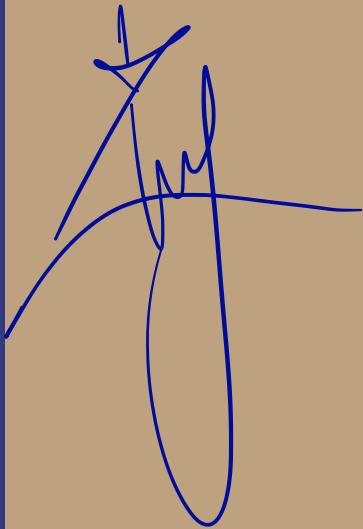


Olevel

Chp:- Exchange rate
part #1

Knowledge and cases



Zurac
Mushaq

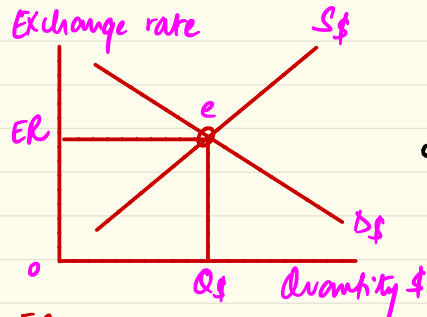
Exchange rate :- Rate at which one currency is exchanged in terms of another currency

Demand and Supply of currency!

\$1 : £2 (year 1)

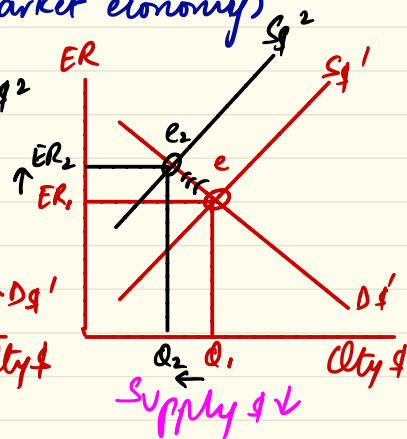
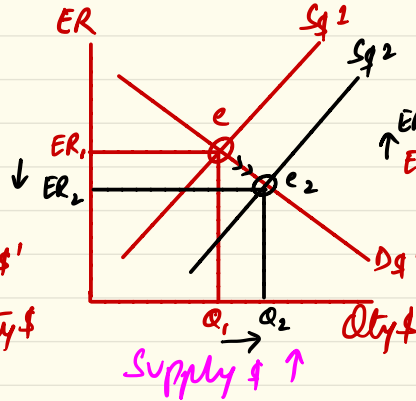
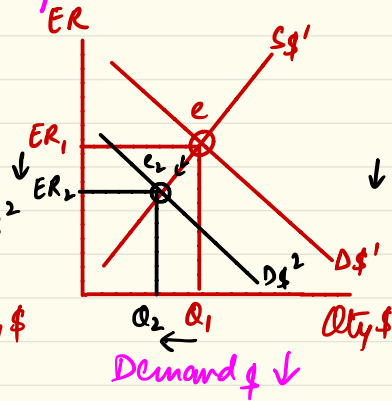
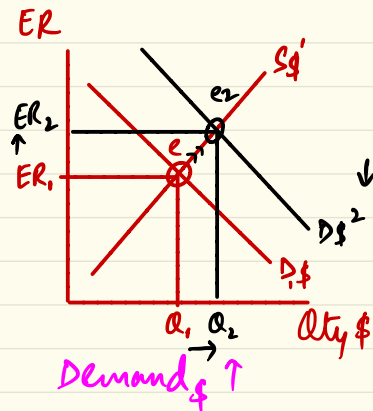
\$1 : £3 (year 2)

£ Appreciate £ Depreciate



- Demand for currency is influenced by foreign residents
- Supply of currency is influenced by domestic residents.

Reference to free floating Exchange rate (market economy)



Demand & ↑ :-

Foreign investor will get attracted as they will receive higher return from our banks on their investments, thus Demand for our currency increases

- ★ An increase in interest rate will attract FDI (foreign direct investment)
Prices ↓ more payments received (D & ↑)
- ★ low inflation rate in our countries will increase our export revenue

- ★ Speculations :- Buying and selling of currency, concept of anticipation. Prediction that the rate will increase in near future. Thus in an anticipation of higher return, they will purchase more of our currency.

Supply & ↑ :-

- ★ An increase in interest rate in other countries, so our domestic residents started saving in foreign bank thus supply of currency increases
- ★ low inflation rate in foreign countries, making imported goods cheaper for domestic residents, thus imported expenditure increases
- ★ Speculations made by our domestic residents regarding foreign currency, resulting in sale of our currency and purchase of foreign currency.

Appreciation

X prices $\uparrow$

M prices $\downarrow$

X Qty $\downarrow$

M Qty $\uparrow$

X (TR) $\downarrow$

<

M (TE) $\uparrow$

Demand $\downarrow$

Supply $\uparrow$

Depreciation

X prices $\downarrow$

M prices $\uparrow$

X Qty $\uparrow$

M Qty $\downarrow$

X (TR) $\uparrow$

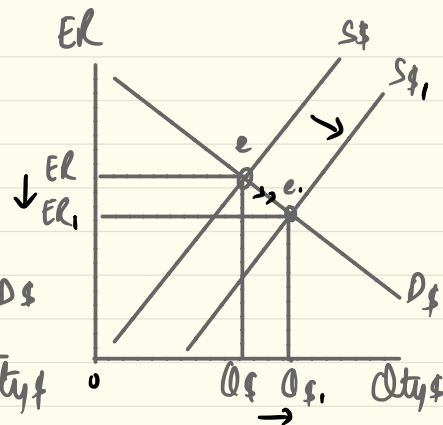
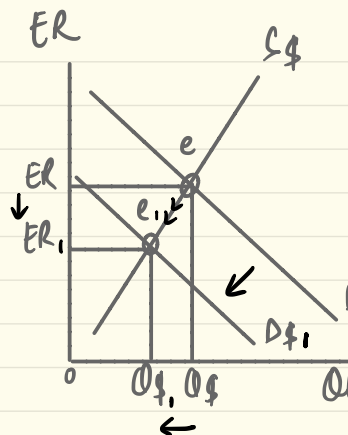
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M (TE) $\downarrow$

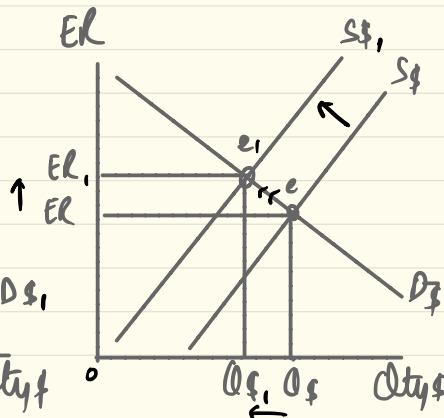
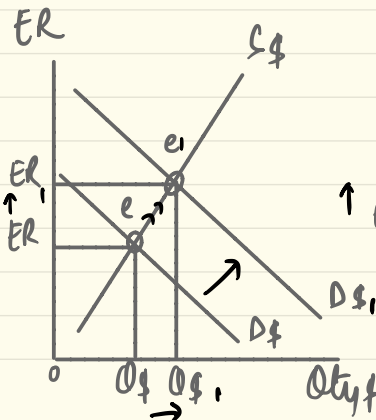
Demand $\uparrow$

Supply $\downarrow$

Appreciation



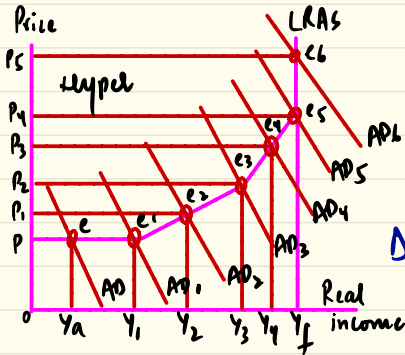
Appreciation leads to depreciation and depreciation leads to appreciation.



Depreciation / Devaluation

Depreciation

$X \text{ prices} \downarrow$ $M \text{ prices} \uparrow$
 $X \text{ Qty} \uparrow$ $M \text{ Qty} \downarrow$
 $X(IR) \uparrow > M(IE) \downarrow$
 BOT :- surplus

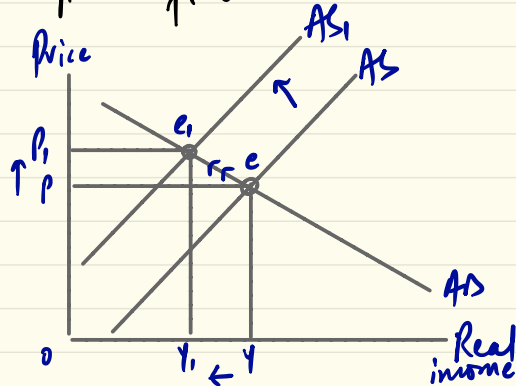


Depreciation

$X \text{ prices} \downarrow$
 $X \text{ Qty} \uparrow$
 $X(IR) \uparrow$
 Demand :- Elastic
 Income $\uparrow$
 AD $\uparrow$
 Production $\uparrow$
 Demand $\uparrow$
 Employment $\uparrow$
 Multiplier
 Shortrun :- Mild
 Longrun :- Hyper
 Demand pull inflation

Depreciation

$M \text{ prices} \uparrow$
 $M \text{ Qty} \downarrow$
 Demand :- Inelastic
 Raw material
 $M(IE) \uparrow$
 Cost $\downarrow$
 AS $\downarrow$
 Cost push inflation



Depreciation, fall in the value of country's currency.

Devaluation, deliberate reduction in the value of country's currency.

Appreciation / Revaluation

⇒ Appreciation,
rise in the value of
country's currency

Revaluation, deliberate
rise in the value of
country's currency through
government
intervention.

Appreciation

X prices $\uparrow$

X Qty $\downarrow$

Demand: Elastic

$X(IR) \downarrow$

Income $\downarrow$

$AD \downarrow$

Demand pull inflation
controlled!

M prices $\downarrow$

M Qty $\uparrow$

Demand: Inelastic

Raw material

cost $\downarrow$

$AS \uparrow$

cost push inflation
controlled

X prices $\uparrow$

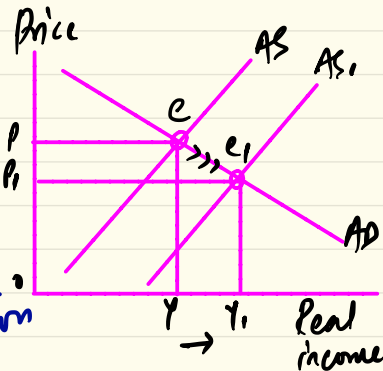
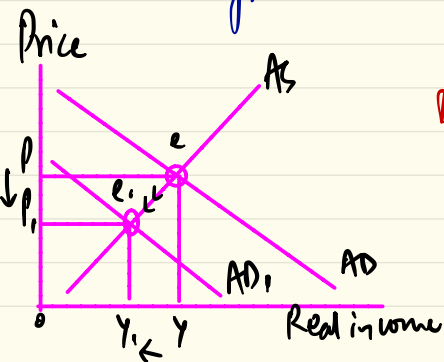
M prices $\downarrow$

X Qty $\downarrow$

M Qty $\uparrow$

$X(IR) \downarrow < M(TE) \uparrow$

BOT deficit



Questions

→ Rate at which one currency is exchanged in terms of another currency.

- Q1 Define Exchange rate ? 2
- Q2 Explain the factors that can increase demand for currency? 6 ^{Diagram}
- Q3 Explain the factors that can increase the supply of currency? 6 ^{Diagram}
 $x_{prices} \uparrow, x_{Qty} \downarrow, x_{(TE)} \downarrow, Demand \downarrow$
- Q4 Explain how inflation affects exchange rate? 6 (2 diagrams)
 $m_{prices} \downarrow, m_{Qty} \uparrow, m_{(TE)} \uparrow, Supply \uparrow$
- Q5 Explain how Appreciation can lead to depreciation and depreciation can lead to appreciation? 6 (Chain given)
- Q6 Discuss the effects of depreciation/Devaluation to an economy? 8 ^{Chain given}
- Q7 Discuss the effects of Appreciation/Revaluation to an economy? 8 ^{Chain given}